

Wealth Strategy Snapshot: Educational Analysis

2026 Tax Year Planning

Prepared for Rhonda Nichols | March 2026

EDUCATIONAL SCENARIO MODELING FOR DISCUSSION WITH LICENSED PROFESSIONALS

Executive Summary

This analysis explores tax optimization strategies and investment concepts for the 2026 tax year, tailored to your financial profile. As a Head-of-Household filer with W-2 income of \$200–299K and a side business entity (Single-Member LLC), multiple strategy categories may be available — including retirement contribution maximization, home-office and Augusta Rule concepts, and real estate acquisition modeling.

Based on the profile and goals provided, this snapshot models potential first-year value ranging from **\$75,446** (conservative scenario) to **\$261,853** (aggressive scenario including real estate acquisition). Implementation of any strategy should be verified with your CPA and licensed financial advisor.

⚠ **SECURE 2.0 Note:** Because W-2 income exceeds \$150,000 in FICA wages, 2026 catch-up contributions (\$8,000) **must be designated Roth** (not pre-tax) under the SECURE 2.0 Act. Discuss this with your employer's HR/benefits team and CPA.

Current Financial Position

PROFILE ITEM	DETAIL
Filing Status / Age	Head of Household Age 58 (turning 59 in March 2026)
Location	Celina, TX — 0% state income tax
Estimated Federal Marginal Rate	32%
Total Household Income	\$300–399K (W-2: \$200–299K + Side Business: <\$25K)
Business Entity	Single-Member LLC (sole prop) — bobcat & trailer rental (currently inactive; equipment down)
Dependents	0 (adult children)
401(k) Status	Partially contributing (not maxed)
HSA Status	Maxing out contributions
Roth IRA / Backdoor Roth	Not currently contributing — interested
Monthly Expenses	\$8,300
Liquid Savings	\$25–49K Emergency fund: 1–2 months
Debt	\$5–19K outstanding Credit score: 760+
Home	Owned, 3 acres, value ~\$500K \$100K+ equity Mortgage: \$7,300/mo
Home Office	Dedicated room used exclusively for business
Investable / Retirement Assets	\$100–249K
Capital Comfortable Deploying	\$10–25K Risk: Moderately conservative

Time Available	10–15 hours/week
Real Estate Interest	Very interested — arbitrage, ownership, house hacking, commercial
Key Goals	Reduce \$60K+ tax bill; prioritize biz vs. investments; explore business acquisition; monetize 3-acre property

Existing LLC Opportunity: The bobcat rental LLC is currently inactive with no revenue, meaning equipment expenses may not offset W-2 income without meeting material participation or at-risk rules. Discuss with your CPA whether reactivating this entity (or pivoting it for the heavy equipment training business) could unlock passive-to-active reclassification and additional deductions.

Timeline Awareness & Implementation Considerations (2026 Planning)

These timeline items are provided for calendar awareness. Verify applicability and timing with your tax professional.

WEEK 1 — TAX CLEANUP & FOUNDATIONS

2025 IRA/HSA Catch-Up: Discuss with CPA whether prior-year IRA (\$8,000) and/or HSA contributions can still be made before April 15, 2026.

401(k) Increase: Contact HR to discuss adjusting deferral to the 2026 maximum (\$24,500 pre-tax + \$8,000 Roth catch-up). Confirm Roth catch-up mandate with benefits team.

WEEK 2 — WITHHOLDING & ROTH

W-4 Adjustment: Model updated withholding with CPA reflecting projected deductions. Potential to increase monthly take-home by \$300–\$500.

Backdoor Roth IRA: Discuss \$8,600 contribution mechanics (\$7,500 + \$1,100 catch-up) with financial advisor. Confirm no existing traditional IRA balances (pro-rata rule).

WEEK 3 — BUSINESS & DEDUCTIONS

LLC Strategy: Discuss with CPA — reactivate bobcat LLC, pivot to heavy equipment training, or establish new entity for coaching/consulting side income.

Home Office & Vehicle: Begin mileage log; document dedicated workspace measurements and exclusive-use status.

WEEK 4 — GROWTH PLANNING

Augusta Rule: Research fair market rental rate for Celina, TX property. Document any business meetings held at home — up to 14 days/year, tax-free.

Investment Scenario: Discuss BTC/STRC/VTI allocation with licensed financial advisor. No purchases until professional review is complete.

All items above are discussion points, not directives. Consult licensed professionals before implementation. 2026 limits referenced throughout.

2025 Tax Year: Remaining Opportunities (Before April 15, 2026)

2025 Strategies Still Available

The following 2025 contributions may still be made until April 15, 2026:

STRATEGY	2025 LIMIT	DEADLINE	YOUR OPPORTUNITY
Traditional / Roth IRA	\$7,000 + \$1,000 catch-up (50+) = \$8,000	April 15, 2026	Potential \$8,000 contribution if not yet made for 2025. Backdoor Roth may apply at this income level — verify with CPA.
HSA Contributions	\$4,300 individual + \$1,000 (55+) = \$5,300	April 15, 2026	Already maxing — confirm full 2025 amount was contributed including catch-up.
Solo 401(k) Employer Portion	25% of net SE income	Tax filing + extensions	Only applicable if Solo 401(k) plan existed before Dec 31, 2025. Bobcat LLC may qualify — discuss with CPA.
SEP IRA	25% of compensation, up to \$69,000	Tax filing + extensions	Alternative if Solo 401(k) was not established. Can still be opened and funded for 2025.

No Longer Available for 2025: Employee 401(k) deferrals (Dec 31 deadline passed), W-4 adjustments (only affect 2026 forward), Augusta Rule rentals (must have occurred in 2025), Solo 401(k) employee contributions (Dec 31 deadline passed).

Verify 2025 contribution eligibility with your CPA. Making prior-year contributions requires careful coordination with your tax return.

2026 Tax Optimization Strategies to Explore

Strategy Concept: W-2 401(k) Maximization

Potential Value: \$7,840 tax savings (at 32% marginal rate)

What It Is: Increasing 401(k) contributions from partial to the 2026 maximum. At age 58, the total is \$24,500 (pre-tax employee deferral) + \$8,000 (catch-up, must be Roth per SECURE 2.0) = \$32,500 total. The pre-tax portion of $\$24,500 \times 32\% = \$7,840$ in potential federal tax reduction.

How It Works:

1. Contact HR/payroll to discuss increasing deferral amount to \$24,500 for 2026
2. Separately designate \$8,000 catch-up as Roth (mandatory for high earners under SECURE 2.0)
3. Monitor pay stubs to confirm deferral is on track to max by December 31, 2026

Eligibility Criteria: W-2 employee with employer-sponsored 401(k) plan. Age 50+ for catch-up. High earners (\$150K+ prior-year FICA) must designate catch-up as Roth.

Verify contribution limits and Roth catch-up requirement with your CPA and HR department. 2026 limits shown.

Strategy Concept: HSA Maximization (Maintaining)

Potential Value: \$1,728 tax savings (already capturing)

What It Is: Health Savings Accounts offer a triple tax benefit — deductible contributions, tax-free growth, and tax-free qualified withdrawals. For 2026: \$4,400 individual + \$1,000 catch-up (age 55+) = \$5,400 total. At 32%: $\$5,400 \times 32\% = \$1,728$.

How It Works:

1. Confirm enrollment in a High-Deductible Health Plan (HDHP) for 2026
2. Verify that 2026 contributions include the \$1,000 catch-up amount
3. Consider investing HSA balance for long-term growth rather than using for current expenses

Eligibility Criteria: Must be enrolled in HDHP. Cannot be enrolled in Medicare. Age 55+ for catch-up.

You appear to already be maximizing this. Confirm 2026 catch-up amount with your plan administrator. 2026 limits shown.

Strategy Concept: Backdoor Roth IRA

Potential Value: Tax-free compounding on \$8,600/year

What It Is: At income levels above direct Roth IRA eligibility, a "backdoor" strategy involves contributing to a Traditional IRA (non-deductible) then converting to Roth. For 2026: \$7,500 + \$1,100 catch-up (age 50+) = \$8,600. No immediate deduction, but all future growth is tax-free.

How It Works:

1. Open Traditional IRA and contribute \$8,600 (non-deductible)
2. Convert to Roth IRA shortly after (typically within days)
3. File Form 8606 with tax return; ensure no existing pre-tax IRA balances (pro-rata rule)

Eligibility Criteria: Any income level. Must have no existing pre-tax Traditional IRA balances to avoid pro-rata taxation on conversion. Age 50+ for catch-up.

Verify Roth conversion mechanics and pro-rata implications with your CPA. 2026 limits shown.

Strategy Concept: Augusta Rule (Section 280A)

Potential Value: \$2,240 – \$3,136 tax savings

What It Is: IRS Section 280A allows a homeowner to rent their personal residence for up to 14 days per year without reporting the rental income. If a business entity rents the home for legitimate business meetings, the rent is a deductible business expense and tax-free personal income. At \$500–\$700/day × 14 days = \$7,000–\$9,800 in tax-free income; business deduction at 32% = \$2,240–\$3,136.

How It Works:

1. Obtain a fair market rental rate appraisal for the property (your 3-acre Celina, TX home at ~\$500K value likely supports \$500–\$700/day)
2. Hold documented business meetings (board meetings, planning sessions, client meetings) at the home
3. LLC pays rent to you personally; maintain meeting minutes, invoices, and attendance records

Eligibility Criteria: Must own the home. Business entity must have legitimate business purpose for renting. Must not exceed 14 days. Fair market rate must be documented.

Verify fair market rate and documentation requirements with your CPA. This strategy requires careful record-keeping.

Strategy Concept: Home Office Deduction

Potential Value: \$480 – \$1,120 tax savings

What It Is: A deduction for the portion of home expenses attributable to a dedicated workspace used exclusively for business. Simplified method: \$5/sq ft up to 300 sq ft (\$1,500 max). Actual method may yield more based on home expenses pro-rated by square footage. At 32%: \$1,500–\$3,500 deduction = \$480–\$1,120 savings.

How It Works:

1. Measure dedicated office space; confirm exclusive business use
2. Choose simplified method (\$5/sq ft) or actual method (pro-rate mortgage interest, insurance, utilities, repairs)

3. Document with photos and measurements; report on Schedule C

Eligibility Criteria: Dedicated room used regularly and exclusively for business. You indicated a qualifying dedicated room.

Verify method selection and documentation with your CPA. 2026 limits shown.

Strategy Concept: Vehicle / Mileage Deduction

Potential Value: \$1,160 – \$2,320 tax savings

What It Is: Business use of a personal vehicle may be deducted at the 2026 standard rate of 72.5¢/mile. At 5,000–10,000 business miles: $\$3,625 - \$7,250 \text{ deduction} \times 32\% = \$1,160 - \$2,320 \text{ savings}$. You indicated a vehicle with potential business use.

How It Works:

1. Begin a contemporaneous mileage log (date, destination, business purpose, miles) — apps like MileIQ automate this
2. Track all trips related to LLC business: equipment sites, client meetings, supply runs, property inspections
3. Compare standard mileage rate vs. actual expenses at year-end; deduct the higher amount

Eligibility Criteria: Vehicle must be used for business purposes. Must maintain a contemporaneous log. W-2 commuting does not qualify — only self-employment / LLC business use.

Start your mileage log as soon as possible — retroactive logs are not accepted by the IRS. Verify with CPA. 2026 rate: 72.5¢/mile.

Strategy Concept: W-4 Optimization

Potential Value: \$3,600 – \$6,000/year additional cash flow

What It Is: Adjusting your W-4 withholding to reflect actual deductions and credits prevents over-withholding and puts money back in your paycheck throughout the year, rather than receiving a

large refund. If currently over-withheld by \$3,600–\$6,000 annually, that is \$300–\$500/month in freed cash flow.

How It Works:

1. Work with CPA to project total 2026 tax liability including new deductions
2. Submit updated Form W-4 to employer reflecting appropriate withholding
3. Monitor quarterly to ensure on track — avoid underpayment penalties

Eligibility Criteria: Any W-2 employee. Must be careful not to under-withhold (safe harbor: 110% of prior-year tax or 90% of current-year tax).

Have your CPA model your projected 2026 tax liability before adjusting W-4. This is a cash-flow strategy, not a tax-reduction strategy.

Strategy Concept: Short-Term Rental + Cost Segregation (Aggressive Scenario)

Potential Value: \$0 (conservative) – \$40,500 (aggressive) tax savings

What It Is: Acquiring a short-term rental property and performing a cost segregation study to accelerate depreciation creates substantial paper losses that may offset other income. Under the One Big Beautiful Bill Act (OBBBA), signed July 4, 2025, **100% bonus depreciation has been permanently restored** for qualified property acquired and placed in service after January 19, 2025. This significantly enhances the Year 1 tax benefit of cost segregation.

How It Works (Corrected Methodology):

1. **Acquire STR property** (~\$375K); average guest stay must be 7 days or fewer for STR tax treatment
2. **Determine depreciable basis:** \$375K purchase price – \$75K land (20%) = \$300K building basis
3. **Cost segregation study** reclassifies ~35–40% of building basis (\$105K–\$120K) into 5-, 7-, and 15-year property
4. **Apply 100% bonus depreciation** (OBBBA) to reclassified components: $\$120K \times 100\% = \$120K$ Year 1
5. **Remaining building depreciation:** $(\$300K - \$120K) / 27.5 \text{ years} = \$6,545$ Year 1
6. **Total Year 1 depreciation:** $\$126,545 \times 32\% = \sim\$40,500$ in tax savings
7. Materially participate (100+ hours, more than anyone else) to avoid passive activity limitations

Eligibility Criteria: Must acquire and operate an STR with average guest stay ≤ 7 days. Material participation required. Capital for down payment (\$70–80K at 20% down). 10–15 hrs/week availability supports this strategy. You indicated strong interest in multiple RE approaches.

⚠ **OBBBA Note:** 100% bonus depreciation applies to property acquired and placed in service after January 19, 2025. Property acquired on or before that date remains subject to TCJA phase-down rates (40% for 2025, 20% for 2026). Additionally, OBBBA expanded Section 179 expensing to \$2,500,000 (phase-out at \$4,000,000), which may provide an alternative or complementary acceleration method. Discuss with your cost segregation engineer and CPA.

Real estate tax strategies have specific documentation and participation requirements. Work with a qualified tax professional to ensure compliance. This strategy appears only in the aggressive scenario.

Primary Strategy Education: Business Entity & Property Optimization

LLC Reactivation & Business Acquisition

Your existing Single-Member LLC (bobcat rental) is currently inactive. This represents both a challenge and an opportunity. Without active revenue, equipment depreciation and expenses generate losses that may be classified as passive — limiting their ability to offset your W-2 income. Two paths to explore with your CPA and attorney:

Path A: Reactivate & Pivot the Existing LLC

Concept: Transition the bobcat LLC into the heavy equipment training business you're evaluating. This preserves the entity's history and may allow existing equipment assets to transfer. If the training business generates active income, losses from startup costs and equipment may offset that income.

Tax Implications to Explore: Active business income unlocks deductions for home office, vehicle, Augusta Rule, and potentially a Solo 401(k) (if self-employment income is sufficient). Discuss S-Corp election timing if net SE income exceeds ~\$50K to potentially reduce self-employment tax.

Path B: Monetize the 3-Acre Property

Concept: Your 3-acre Celina, TX property may have revenue potential beyond its primary residential use. Options to research with local authorities include: (1) event venue rental — weddings, corporate retreats; (2) equipment/vehicle storage rental; (3) ADU (accessory dwelling unit) for STR use; (4) agricultural use — hobby farm, nursery, or agritourism; (5) RV/camper pad rentals. Celina's growth corridor may make several of these viable.

Considerations: Zoning restrictions, HOA covenants, insurance requirements, and local permitting must be verified. If structured through the LLC, business deductions for the portion of property used commercially may apply. Discuss with a real estate attorney and CPA.

Coaching & Teaching Monetization

You indicated interest in coaching and teaching as a potential income stream. If offered through your LLC, this creates legitimate self-employment income that unlocks additional strategy layers: Solo 401(k) contributions (up to \$72,000 total for 2026), the Augusta Rule for business meetings at your home, and QBI deduction eligibility (up to 20% of qualified business income, made permanent by OBBBA). The key is establishing a documented business with genuine revenue-generating activity.

Entity structure, business acquisition, and property-use decisions have significant tax and legal implications. Consult with both a CPA and business attorney before proceeding.

Illustrative Portfolio Scenario

Educational Investment Scenario (Based on Profile Analysis)

Based on the moderately conservative investment approach indicated, combined with goals focused on tax reduction and wealth growth, the following scenario models a balanced allocation weighted toward long-term appreciation with a passive income component.

Capital deployment: Conservative scenario uses Q45 midpoint (\$17,500); Aggressive scenario uses liquid savings midpoint (\$37,000).

		40% BTC	35% STRC	25% VTI/VOO
ASSET CLASS	SCENARIO %	CONSERVATIVE (\$17,500)	AGGRESSIVE (\$37,000)	EDUCATIONAL RATIONALE
Bitcoin	40%	\$7,000	\$14,800	Bitcoin serves as a wealth accumulation vehicle due to its fixed 21M supply and increasing institutional adoption. Core growth component even in moderately conservative profiles.
STRC	35%	\$6,125	\$12,950	STRC is commonly used by investors seeking passive income with Bitcoin correlation, providing approximately 10–12% annual yield. Aligns with income-generation goals. Verify current yield at time of investment.
VTI / VOO	25%	\$4,375	\$9,250	VTI provides broad U.S. equity exposure at low cost (0.03% expense ratio). VOO tracks the S&P 500. Lower-volatility anchor for portfolio stability.

This scenario models one approach based on the moderately conservative profile and growth-focused goals indicated. Specific investment decisions should be made in consultation with a licensed financial advisor who

understands your complete situation.

These scenarios are for educational illustration. All investments carry risk including potential loss of principal. Bitcoin and cryptocurrency are highly volatile. Historical yields are not guaranteed. Past performance does not guarantee future results.

WEALTH STRATEGY SNAPSHOT | 2026 TAX YEAR PLANNING | EDUCATIONAL ANALYSIS ONLY | CONSULT LICENSED PROFESSIONALS BEFORE IMPLEMENTATION

Modeled First-Year Value Summary (2026 Tax Year)

Category	Item	Conservative	Aggressive	Notes
Category A: Tax Optimization				
Tax	W-2 401(k) Pre-Tax (\$24,500 × 32%)	\$7,840	\$7,840	Pre-tax deferral only; catch-up is Roth (no current deduction)
Tax	HSA Maximization (\$5,400 × 32%)	\$1,728	\$1,728	2026: \$4,400 + \$1,000 catch-up (age 55+)
Tax	Augusta Rule (14 days × rate × 32%)	\$2,240	\$3,136	\$500/day (C) or \$700/day (A) × 14 days × 32%
Tax	Home Office Deduction	\$480	\$1,120	Simplified vs. actual method × 32%
Tax	Vehicle (72.5¢/mile × 2026 rate)	\$1,160	\$2,320	5K miles (C) or 10K miles (A) × 72.5¢ × 32%
Tax	STR + Cost Segregation (100% Bonus Dep under OBBBA)	\$0	\$40,500	~40% of building basis (\$300K) × 100% bonus dep + straight-line remainder, × 32%
Tax Optimization Subtotal		\$13,448	\$56,644	
Category B: Investment Income (Yield / Dividends)				
Income	STRC Yield	\$613	\$1,554	\$6,125 × 10% (C) \$12,950 × 12% (A)
Income	ETF Dividends (VTI/VOO)	\$66	\$185	\$4,375 × 1.5% (C) \$9,250 × 2% (A)
Investment Income Subtotal		\$679	\$1,739	

CATEGORY C: INVESTMENT APPRECIATION (PROJECTED GROWTH)				
GROWTH	Bitcoin Appreciation	\$1,750	\$7,400	$\$7,000 \times 25\%$ (C) $\$14,800 \times 50\%$ (A)
GROWTH	STRC Appreciation	\$919	\$3,885	$\$6,125 \times 15\%$ (C) $\$12,950 \times 30\%$ (A)
GROWTH	VTI/VOO Appreciation	\$350	\$1,110	$\$4,375 \times 8\%$ (C) $\$9,250 \times 12\%$ (A)
Appreciation Subtotal		\$3,019	\$12,395	
CATEGORY D: REAL ESTATE (AGGRESSIVE ONLY)				
RE	STR Annual Cash Flow (NOI)	\$0	\$30,000	After expenses; market/occupancy dependent
RE	Property Appreciation (~4.5% of \$375K)	\$0	\$16,875	Celina, TX growth market
RE	Mortgage Principal Paydown (Year 1)	\$0	\$4,500	Forced savings via amortization
Real Estate Subtotal		\$0	\$51,375	Conservative = no RE acquisition
CATEGORY E: CASH FLOW IMPROVEMENTS				
CASH FLOW	W-4 Optimization	\$3,600	\$6,000	$\$300/\text{mo}$ (C) or $\$500/\text{mo}$ (A) $\times 12$ months
CASH FLOW	Debt Interest Savings	\$1,200	\$2,400	Accelerated payoff of \$5–19K debt
Cash Flow Subtotal		\$4,800	\$8,400	
CATEGORY F: WEALTH BUILDING (DOLLARS ADDED / POSITIONED)				
WEALTH	401(k) Contributions (2026)	\$32,500	\$32,500	$\$24,500$ pre-tax + $\$8,000$ Roth catch-up

WEALTH	HSA Contributions (2026)	\$5,400	\$5,400	\$4,400 + \$1,000 catch-up
WEALTH	Backdoor Roth IRA (2026)	\$8,600	\$8,600	\$7,500 + \$1,100 catch-up
WEALTH	Augusta Rule Income Received	\$7,000	\$9,800	Tax-free under 14-day rule
WEALTH	RE Equity Position (Down Payment)	\$0	\$75,000	20% down on ~\$375K property
Wealth Building Subtotal		\$53,500	\$131,300	
TOTAL FIRST-YEAR VALUE (2026)		\$75,446	\$261,853	

Projected values are illustrative estimates for the 2026 tax year based on assumptions stated. Investment appreciation is based on historical performance and is not guaranteed — past performance does not guarantee future results. All investments carry risk including potential loss of principal. Bitcoin and cryptocurrency are highly volatile. Real estate projections depend on market conditions, occupancy, and expenses. Tax savings shown use 2026 IRS limits; verify with your CPA. Cost segregation reflects 100% bonus depreciation under OBBBA for property acquired after January 19, 2025, applied to building basis (excluding land). Consult with your licensed professionals before implementation.

Calendar Awareness & Key Dates (2026)

DATE	ITEM	NOTES
April 15, 2026	Last day for 2025 IRA / HSA contributions	File or extend 2025 return; make prior-year contributions if applicable
Q1 2026	W-4 adjustment with employer	Reflect new deductions to improve monthly cash flow
Q1-Q2 2026	Backdoor Roth IRA for 2026	Contribute early for maximum compounding time
Throughout 2026	Mileage log & home office documentation	Contemporaneous records required; cannot reconstruct retroactively
Throughout 2026	Augusta Rule meetings (up to 14 days)	Document each event: date, attendees, business purpose, rental invoice
Q2-Q3 2026	RE acquisition research (aggressive scenario)	Market analysis, financing pre-approval, cost seg engineer engagement
December 31, 2026	Solo 401(k) establishment deadline	Required for 2026 employee deferrals (if self-employment income warrants)
December 31, 2026	2026 employee 401(k) contributions deadline	Verify payroll has deducted full \$32,500 by year-end
April 15, 2027	Last day for 2026 IRA / HSA contributions	Final chance to fund 2026 Roth & HSA

Verify all deadlines with your tax professional. Some deadlines extend with tax filing extensions; others are absolute.

Questions for Your Professional Team

ASK YOUR CPA:

"Based on my W-2 income, LLC status, and age (58), what are my maximum 2026 retirement contributions across 401(k), HSA, and Roth IRA? Do I need to designate my catch-up as Roth under SECURE 2.0?"

ASK YOUR CPA:

"Can I still make 2025 IRA and/or HSA contributions before April 15? If I didn't have a Solo 401(k) established by Dec 31, 2025, is a SEP IRA a viable alternative for my side business income?"

ASK YOUR CPA:

"My bobcat rental LLC is inactive — how are the equipment depreciation and losses currently classified? What would it take to generate active income through this entity to unlock those deductions against my W-2?"

ASK YOUR CPA:

"What documentation do I need for the Augusta Rule? Is a \$500–\$700/day fair market rate reasonable for my 3-acre Celina property?"

ASK YOUR CPA:

"With OBBBA restoring 100% bonus depreciation for property acquired after January 19, 2025, how does cost segregation math look on a \$350–400K STR property? Should I also consider expanded Section 179 (\$2.5M) as part of the acceleration strategy?"

ASK YOUR ATTORNEY:

"If I acquire the heavy equipment training business, should it operate through my existing LLC, a new entity, or a multi-member structure? What liability protections should be in place?"

ASK YOUR FINANCIAL ADVISOR:

"Given my moderately conservative risk profile and 7–10 year time horizon, how does a 40% Bitcoin / 35% STRC / 25% broad-market scenario align with my overall goals? What adjustments would you suggest?"

DISCUSS WITH CPA & ADVISOR TOGETHER:

"Should I consider selling my current home to free up equity for investment capital, or are there ways to monetize the 3-acre property while staying? What are the tax implications of each path?"

WEALTH STRATEGY SNAPSHOT | 2026 TAX YEAR PLANNING | EDUCATIONAL ANALYSIS ONLY | CONSULT LICENSED
PROFESSIONALS BEFORE IMPLEMENTATION

Professional Team for Implementation

PROFESSIONAL	ROLE IN THIS STRATEGY	KEY DISCUSSIONS
CPA / Tax Strategist	Tax strategy implementation, entity structure, retirement contributions, cost segregation coordination	401(k) maximization, SECURE 2.0 compliance, Augusta Rule documentation, LLC reactivation, W-4 modeling, 2025 cleanup contributions, OBBBA provisions
Business Attorney	Entity formation/restructuring, business acquisition due diligence, asset protection	Heavy equipment training business acquisition, LLC operating agreement, property-use zoning, liability protection
Licensed Financial Advisor (RIA)	Investment implementation, portfolio construction, risk management	Portfolio allocation, Backdoor Roth mechanics, tax-loss harvesting, retirement income planning
Real Estate Professional	Property acquisition (if pursuing aggressive scenario), property monetization analysis	STR market analysis, Celina zoning research, property revenue feasibility, cost segregation engineer referral

You indicated you are currently working with a financial advisor/wealth manager. Bringing this snapshot to your next meeting can serve as a discussion framework.

Review Milestones & Checkpoints

TIMEFRAME	MILESTONE	CONSIDERATION
30 Days	Foundation strategies initiated	401(k) increase submitted, W-4 adjusted, mileage log started, 2025 catch-up contributions discussed with CPA
60 Days	Entity & business strategy decided	LLC path chosen (reactivate, pivot, or new entity), business acquisition due diligence underway, Augusta Rule fair market appraisal obtained
90 Days	Investment scenario reviewed	Met with financial advisor, discussed allocation scenario, initiated Backdoor Roth if appropriate
6 Months	Mid-year tax projection	CPA reviews YTD withholding vs. projected liability, confirm 401(k) on track to max, evaluate RE acquisition timeline
Q4 2026	Year-end optimization	Solo 401(k) establishment deadline (Dec 31), final Augusta Rule events documented, charitable giving review, tax-loss harvesting window
Q1 2027	2026 year-end review	Compile all deduction documentation, 2026 IRA/HSA final contributions (by April 15, 2027), begin 2027 strategy planning

These milestones are for planning awareness. Actual timing should be coordinated with your professional team based on your specific circumstances.

Educational Resources & 2026 Contribution Limits

2026 Contribution Limits Quick Reference

ACCOUNT TYPE	BASE LIMIT	CATCH-UP (50+)	SUPER CATCH-UP (60–63)	YOUR 2026 MAX (AGE 58)
401(k) Employee Deferral	\$24,500	+\$8,000	+\$11,250	\$32,500
401(k) Total (Employee + Employer)	\$72,000	+\$8,000	+\$11,250	\$80,000 (with employer match)
HSA (Individual Coverage)	\$4,400	+\$1,000 (55+)	N/A	\$5,400
HSA (Family Coverage)	\$8,750	+\$1,000 (55+)	N/A	\$9,750 (if family HDHP)
Traditional / Roth IRA	\$7,500	+\$1,100	N/A	\$8,600

Business mileage rate for 2026: 72.5¢/mile. Verify all limits with IRS.gov or your tax professional. SECURE 2.0 requires high earners (\$150K+ prior-year FICA wages) to make catch-up contributions as Roth starting 2026. All limits per Rev. Proc. 2025-32.

Key OBBBA Provisions (Signed July 4, 2025)

PROVISION	DETAIL	RELEVANCE TO YOUR SNAPSHOT
100% Bonus Depreciation (Permanent)	Restored for property acquired & placed in service after Jan 19, 2025	Directly impacts cost segregation math in aggressive RE scenario
Section 179 Expansion	Maximum increased to \$2,500,000 (phase-out at \$4,000,000)	Alternative acceleration method for business equipment & property
QBI Deduction (Permanent)	20% pass-through deduction made permanent	Applies if LLC generates qualifying business income

SALT Cap Raised	\$40,400 for 2026 (1% annual increase from \$40K base)	Minimal impact — TX has 0% state income tax
Non-Itemizer Charitable Deduction	\$1,000 single / \$2,000 MFJ for cash donations	Available if taking standard deduction; discuss with CPA
TCJA Tax Rates Permanent	7-bracket structure (10%–37%) made permanent	No sunset risk for current bracket planning

Key IRS Resources (For Reference)

- IRS Publication 560 — Retirement Plans for Small Business
- IRS Publication 969 — Health Savings Accounts
- IRS Publication 587 — Business Use of Your Home
- IRS Publication 463 — Travel, Gift, and Car Expenses
- IRS.gov/retirement — Contribution limits and plan comparison tools

For educational reference only. Tax law changes regularly — verify current rules with your tax professional.

Important Disclaimers

Educational Purpose: This Wealth Strategy Snapshot is provided for educational and illustrative purposes only. It does not constitute individualized investment, tax, or legal advice.

Not Investment Advice: Legacy Investing Show and its staff are not registered investment advisers. This document does not recommend the purchase, sale, or holding of any security. Investment scenarios presented are illustrative models for educational purposes only. All investments carry risk including potential loss of principal.

Not Tax Advice: Tax strategies discussed are educational explanations of how certain provisions work. Eligibility, implementation, and actual tax savings depend on your specific circumstances and must be verified by a qualified CPA or tax attorney before implementation.

Not Legal Advice: Entity structure, asset protection, and partnership discussions are educational. Consult a qualified attorney for legal guidance specific to your situation.

No Guarantees: Projected values, potential savings, and scenario outcomes are illustrative estimates based on assumptions stated. Actual results will vary based on market conditions, tax law changes, and individual circumstances. Past performance does not guarantee future results.

Investment Risk Disclosure: All investments involve risk. Bitcoin and cryptocurrency investments are highly volatile and speculative. Real estate investments carry risks including market fluctuations, vacancy, and unexpected expenses. You could lose some or all of your invested capital.

Tax Law Changes: Tax laws change regularly. Information presented reflects understanding as of March 2026 using 2026 IRS limits per Rev. Proc. 2025-32, incorporating OBBBA provisions signed July 4, 2025. Verify current rules with your tax professional.

Professional Consultation Required: Before implementing any strategy discussed in this document, consult with qualified licensed professionals including a CPA, attorney, and/or registered investment adviser who understand your complete financial situation.

Limitation of Liability: Legacy Investing Show assumes no liability for actions taken based on information in this educational document. You are solely responsible for your financial decisions.

